

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$253.68 ▲ 0.99%	12M Price Target \$295.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.74T
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AMZN: AI Payoff Emerging, But Watch Yields and Antitrust

WHAT HAPPENED

- AMZN bounced back to \$253.68 (+1%) after a rough two-day dip — the recovery came alongside a 24/7 Wall St piece flagging that Amazon's AI bet is "already starting to pay off." Translation: analysts are starting to see AWS AI revenue show up in real numbers, not just slide decks. That's a big deal because the whole bull case for the last 18 months has been "trust us, the AI capex will pay off."
- BUT — 10-year Treasury yields just hit 5% (per IBD). That's a headwind for every big-cap tech stock because when you can get 5% risk-free from the government, paying 37x earnings for Amazon looks less appealing. The fact that AMZN went UP on a 5% yield day is actually a bullish tell.

WHY IT MATTERS

The setup here is genuinely interesting: options flow is screaming bullish (put/call ratio of 0.28 means traders are buying 3.5 calls for every put — they're betting on upside), while insiders are quietly selling. When smart money on the options desk disagrees with insiders, usually the options crowd is trading the near-term catalyst and insiders are just diversifying — so I wouldn't panic on the CEO's \$255K sale. The bigger story: if AWS AI revenue is genuinely inflecting, Amazon becomes the cheapest way to own the AI theme versus NVDA or MSFT on a growth-adjusted basis. Watch for the Q3 earnings print — if AWS growth reaccelerates above 20%, this stock has room to \$280+.

POLICY & POLITICAL WATCH

Two live policy threads matter for AMZN right now: (1) the FTC's antitrust case is still grinding through the courts — a structural remedy (like forcing AWS separation) is the tail risk, but the current administration's tone has softened, making a settlement more likely; and (2) the \$2.5B Prime settlement expanding today (per USA Today) is a reminder that consumer-protection enforcement is still active. On tariffs, watch the China trade posture — Amazon's third-party sellers source heavily from China, so any tariff escalation flows straight through to marketplace GMV. Net-net: the regulatory environment is slightly friendlier than 12 months ago, but not "all clear."

IS IT EXPENSIVE?

At \$253, AMZN trades around 37x forward earnings — meaning investors are paying \$37 today for every \$1 the company is expected to earn next year. That's a premium to the S&P (~22x) but a discount to MSFT (~34x) and way cheaper than NVDA (~45x) when you adjust for AWS's growth rate. The stock is at 63% of its 52-week range — not cheap, not expensive, sitting in the "show me" zone where the next earnings print decides the next \$30 of movement.

Key Data

Price (USD)	\$253.68
12M Price Target	\$295.00
Upside / (Downside)	+16.3%
Market Cap	\$2.74T
FY2026E Revenue	\$745M
FY2027E Revenue	\$825M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	37.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$268.00	\$256.00	\$240.00
6 Months	\$295.00	\$270.00	\$230.00
1 Year	\$320.00	\$295.00	\$220.00
2 Years	\$380.00	\$330.00	\$210.00
5 Years	\$550.00	\$425.00	\$250.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy is quietly outperforming — that's usually a "late cycle" signal and often correlates with rising rates hurting growth stocks. Healthcare also up 1.6% on the week as defensive money rotates in ahead of macro uncertainty.

COOLING OFF: Financials (-2.65% on the week) and Industrials (-2.22%) getting hit — that's weird with yields rising (should help banks) and suggests the market is worried about credit stress, not just rate levels. Consumer Discretionary weak too, which is a mild negative read-through for Amazon retail.

ROTATION WATCH: Money is moving OUT of rate-sensitive growth into defensives and energy — classic "risk-off with inflation" playbook. AMZN going up in that tape is impressive.

RELATED PLAY: If the AI monetization story is real for AMZN, the picks-and-shovels beneficiaries are the data center power suppliers (VST, CEG) and the networking names (ANET) — they get paid whether AWS, Azure, or GCP wins.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Winning on the same AI-monetization narrative but with cleaner enterprise attach; trades at similar multiple with less regulatory overhang
- META (Meta Platforms): Beating on AI ad-targeting ROI — proof that AI capex CAN generate returns, which is bullish read-through for AMZN

AMZN CONTEXT: Amazon has been a mid-pack MAG7 performer in 2026 — not the leader (NVDA, META) but not a laggard (AAPL). The stock at 63% of its 52-week range while options flow screams bullish suggests it's coiling for a move — earnings will be the trigger.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — cautiously bullish because the AI monetization thesis is finally getting validated, but 5% yields keep me from pounding the table.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a swing trade. The business is too high-quality to under-own but the macro backdrop is too messy to overweight.

ENTRY POINTS: Add on pullbacks to \$245-250 (which is where it dipped mid-week). Anything below \$240 is a gift barring a fundamental change.

TIME HORIZON: 12-24 months, waiting on 2-3 quarters of AWS reacceleration to prove the AI capex is paying off.

WHEN TO BAIL: AWS growth drops below 15% year-over-year, OR the FTC pushes for structural remedies, OR free cash flow turns negative on runaway capex.

HEDGING: If you're worried about a broad tech drawdown, own some longer-dated protective puts (basically insurance that pays off if the stock crashes) — or just keep some cash to add on dips. Simplest hedge: don't let this become more than 6% of your portfolio.